

WEIGHTED COMPOSITE VALUATION SCORE (WCVS) — U.S. EQUITY MARKET

Report Date: Thursday, May 7th, 2026
S&P 500 Reference: 7,369
WCVS Score: 1.6 / 5.0
Overall Rating: SIGNIFICANTLY OVERVALUED

1. EXECUTIVE SUMMARY

The U.S. equity market continues to trade at historically stretched valuations following back-to-back record closes for the S&P 500 and Nasdaq. The Weighted Composite Valuation Score (WCVS) reads **1.6 / 5.0** — squarely in "Significantly Overvalued" territory. All five valuation categories register at or above their historical means, with three of five (CAPE, Price-to-Book, and Market Cap/GDP) sitting in the 99th percentile or higher. The CAPE ratio has climbed to **41.8**, now just 2–3 points below its all-time peak from late 2021. Every category except Trailing P/E scores 2.5 or lower, meaning the market is expensive across nearly every dimension measured.

Composite Score: 1.6 / 5.0
Rating: Significantly Overvalued

2. SCORE BREAKDOWN BY CATEGORY

Valuation Metrics Table

Metric	Current	Historical Mean	Percentile	Category Score	Weight
Shiller CAPE	41.8	17.0	99th	1.0	30%
Trailing P/E	26.5	25.3	60th	2.8	20%
Forward P/E	21.5	18.4	72nd	2.4	15%
Price-to-Book	5.5x	3.0x	99th	1.0	15%
Market Cap / GDP	230%	100%	99th	1.0	20%

Weighted Composite Calculation

- Shiller CAPE: 1.0 × 30% = **0.30**
- Trailing P/E: 2.8 × 20% = **0.56**
- Forward P/E: 2.4 × 15% = **0.36**
- Price-to-Book: 1.0 × 15% = **0.15**
- Market Cap / GDP: 1.0 × 20% = **0.20**

Total Composite Score: 1.6 / 5.0

3. CATEGORY ANALYSIS

Shiller CAPE (Score: 1.0 — Very Overvalued)

The cyclically adjusted price-to-earnings ratio sits at **41.8**, more than double its long-term average of 17.0 and now within striking distance of the all-time high near 44 recorded during the 2021 post-pandemic rally. The market is pricing in earnings growth that would need to sustain near-record levels for the better part of a decade just to grow into current multiples. CAPE has spent 42 of the last 52 months above 35 — a duration without historical precedent. The 99th percentile placement signals extreme risk for long-term capital from these levels.

Trailing P/E (Score: 2.8 — Fairly Valued)

At **26.5**, the trailing price-to-earnings ratio sits barely above its historical mean of 25.3. This is the one category that does not flash red, though "fair" at a 26x multiple is a low bar by historical standards. Earnings have kept pace with prices over the trailing twelve months, suggesting corporate profitability has been resilient. However, should earnings growth stall or reverse, this metric could reprice sharply higher, flipping from the market's one valuation comfort zone into another pressure point.

Forward P/E (Score: 2.4 — Overvalued)

The forward P/E of **21.5** is elevated relative to its 18.4 mean and sits at the 72nd percentile. Analysts are forecasting robust earnings growth, but the market is paying a steep premium for that optimism. A 21x forward multiple implies the economy avoids recession, margins hold near cyclical highs, and AI-driven productivity gains translate to bottom-line growth. The gap between forward and trailing P/E (≈5 points) is narrower than typical late-cycle expansions, suggesting analysts may already be baking in aggressive assumptions.

Price-to-Book (Score: 1.0 — Very Overvalued)

At **5.5x book value**, the S&P 500 trades at nearly twice its historical norm of 3.0x. Asset-light business models (software, cloud, platforms) have structurally raised this ratio, but even accounting for that shift, 5.5x is at the 99th percentile — territory previously touched only at the zenith of the dot-com and post-COVID bubbles. Investors are paying \$5.50 for every \$1 of net assets on corporate balance sheets. That premium assumes intangible assets (brand, data, network effects) will generate sustained economic returns well above replacement cost for years to come.

Market Cap / GDP (Buffett Indicator) (Score: 1.0 — Very Overvalued)

The ratio of total U.S. stock market value to GDP stands at **230%**, more than double the historical average near 100%. Per CurrentMarketValuation's trend-adjusted model, this reading sits approximately 2.4 standard deviations above the long-term trend line — firmly in "Strongly Overvalued" territory. The metric reflects not just equity valuations but also the growing share of corporate profits derived from international operations and the low-interest-rate environment that has compressed discount rates. Even with those caveats, a 230% reading has historically preceded multi-year periods of below-average returns.

4. FORWARD RETURN EXPECTATIONS (CAPE REGRESSION)

Based on historical CAPE regression analysis, expected real returns from current valuations are:

Time Horizon	Expected Real Return
1 Year	-3.5%
3 Years	-0.5%
5 Years	+0.8%
10 Years	+2.2%
15 Years	+3.5%

These figures represent real (inflation-adjusted) expected returns and carry wide confidence intervals. The negative 1-year and near-zero 3-year expectations reflect the mathematical reality that starting from a CAPE above 40, markets have historically delivered poor or negative short-term returns more often than not. The 10-year expected return of +2.2% real is below the historical average of ~6.5% and would imply a decade of capital appreciation roughly matching inflation — in other words, preservation of purchasing power at best, with little real wealth creation.

5. TACTICAL ASSESSMENT

The WCVS at 1.6 represents a meaningful deterioration from neutral (3.0). While momentum is currently propelling indices to fresh highs — the S&P 500 and Nasdaq both set consecutive record closes on May 6 — the underlying valuation foundation is eroding. The CAPE approaching 42, Price-to-Book at 5.5x, and the Buffett Indicator at 230% collectively describe a market priced for perfection across multiple dimensions.

For long-term investors, the message is defensive: expected real returns over the next decade are likely to be well below historical norms. Dollar-cost averaging remains a sound strategy, but fresh capital deployed at these levels is buying into elevated risk with compressed expected reward. Rebalancing toward cheaper asset classes (international equities, value factors, credit, alternatives) and building cash reserves for better entry points would be prudent tactical adjustments.

Short-term traders may continue to ride momentum — tech earnings have been strong, AI infrastructure spending is accelerating, and geopolitical tensions (Iran-U.S. negotiations) appear to be easing. But the risk/reward asymmetry has shifted: upside from here is increasingly dependent on multiple expansion rather than earnings growth, while downside risks (earnings disappointment, Fed policy error, geopolitical relapse) could trigger rapid repricing.

6. KEY MARKET DRIVERS

Bearish Factors (5)

- CAPE above 41** — Only the third time in history (after 2000 and 2021); all prior episodes produced negative 10-year real returns.
- Buffett Indicator at 230%** — Total stock market value is 2.3x annual U.S. economic output; historically, readings above 200% have preceded extended corrections or multi-year stagnation.

- 3. **Price-to-Book near all-time highs** — At 5.5x, the market is priced as if every company were a high-margin software platform; any repricing of intangible assets would be painful.
 - 4. **Narrow market leadership** — The rally is increasingly concentrated in a handful of mega-cap tech names; breadth deterioration is a classic late-cycle signal.
 - 5. **Fed policy uncertainty** — The 10-year Treasury yield at 4.35% leaves little room for error; any resurgence of inflation could force the Fed to hold rates higher for longer, compressing equity multiples.
- Bullish Factors (5)**
- 1. **Earnings resilience** — Q1 2026 results have broadly exceeded expectations; corporate margins remain elevated and buyback activity is robust.
 - 2. **AI capex cycle** — Nvidia, AMD, and cloud hyperscalers are committing hundreds of billions to AI infrastructure, creating a durable demand driver for semis and data center REITs.
 - 3. **Geopolitical de-escalation** — Reports of a potential U.S.-Iran agreement to end the conflict have driven oil prices down 7%, easing inflation pressures and improving consumer sentiment.
 - 4. **Trailing P/E near fair value** — At 26.5, the market is not as egregiously priced on near-term earnings as it is on long-term metrics; a soft landing with continued earnings growth could sustain prices.
 - 5. **Liquidity environment** — Despite elevated rates, corporate credit spreads remain tight and money market funds hold record cash levels — dry powder that could support equity demand on any dip.

7. SUMMARY & OUTLOOK

The U.S. equity market entered May at fresh highs, but the valuation scorecard is flashing red. With a WCVS of **1.6 / 5.0**, the market is **Significantly Overvalued** — three of five categories sit at 99th percentile extremes, and the composite score has drifted deeper into overvalued territory. The CAPE's climb to 41.8, in particular, is a loud warning that long-term expected returns have been compressed to levels that may not compensate for the risks embedded at these prices.

Investors should recalibrate expectations: the next decade is unlikely to deliver the 10%+ annualized returns of the 2010s. A more realistic base case is low-single-digit real returns, punctuated by volatility. Discipline — rebalancing, diversification, and patience — will matter more than stock-picking from here.

Bottom line: The rally can continue in the short term, but the math of compounding is working against new capital at these valuations. Tread carefully.